DRIPTECH IRRIGATION (PRIVATE) LIMITED
versus
STELLAR MUNDI (PRIVATE) LIMITED

HIGH COURT OF ZIMBABWE
COMMERCIAL DIVISION
MUSHURE J
HARARE; 11 March & 20 July 2026

Special case

T. Vhudzijena for the plaintiff
A. Mugandiwa & T. Parawira for the defendant

MUSHURE J:

INTRODUCTION

[1] This is a special case in terms of r 52 of the High Court Rules, 2021 ("the High Court Rules"), as read with r 4(2) of the High Court (Commercial Division) Rules, 2020 ("the High Court (Commercial Division) Rules").

BACKGROUND

[2] Both the plaintiff and defendant are companies registered in terms of the laws of Zimbabwe. On 5 June 2025, the plaintiff sued summons out of this court against the defendant for payment of US$750 007, 49, being an outstanding balance arising from a credit facility agreement, in terms of which the plaintiff supplied the defendant with irrigation equipment, machinery, parts and maintenance and repair services. The plaintiff claimed that the defendant had not paid the said amount despite the amount being due. In addition to the prayer for the outstanding amount to be paid, the plaintiff also prayed for payment of interest at an agreed rate of 2% per month, calculated from the date of summons to the date of payment in full, as well as costs of suit on a legal practitioner and client scale and collection commission.

[3] In defending the claim, the defendant admitted the quantum of the claim but averred that the credit sale agreement had been amended by a subsequent agreement titled 'Creditor Confirmation and Repayment Agreement (Deed of Settlement)' (hereinafter referred to as 'the Agreement') executed on 7 February 2025. The defendant pleaded that it was not in breach of this agreement because the debt was not yet due and payable. The defendant pleaded, further, that the parties had agreed that the amount claimed by the plaintiff would become payable upon the disbursement of an offshore loan the defendant had applied for.

[4] The parties could not settle at the case management stage, and the matter was subsequently set down for trial. On the day the trial was due to commence, counsel for both parties indicated that they had agreed that the matter would proceed as a stated case with parties filing a statement of agreed facts and their respective submissions within agreed timelines.

[5] The facts of the matter, as presented by the parties in their statement of agreed facts, are that:

"AGREED FACTS

1. In April 2023, the plaintiff and defendant entered into a written agreement for the supply and installation of goods in the form of irrigation equipment, machinery, parts and provision for labour, maintenance and or repair services.
2. The total credit facility was in the sum of US$1 153 245 (One Million One Hundred and Fifty-Three Thousand Two Hundred and Forty-Five United States Dollars) plus interest.
3. The material terms and conditions of the credit facility were, *inter alia,* that
   3.1. The invoices would be paid upon presentation.
   3.2. The defendant would pay the invoiced amount in US$ currency only; and
   3.3. In the event of overdue payments, the plaintiff was entitled to charge interest at a rate of 2 percent per month which is permissible under the applicable law as well as costs of suit on the legal practitioner and client scale and collection commission.
4. In fulfilment of the terms of the credit facility, the plaintiff provided the defendant with the goods and services from about April 2023 to October 2024 and invoiced for the same.
5. The defendant failed to pay the total sum of US$1 153 245 (One Million One Hundred and Fifty-Three Thousand Two Hundred and Forty-Five United States Dollars) by the 25th of June 2024 as agreed by the parties in the credit agreement.
6. As a result, on 7 February 2025, the parties entered into a Creditor Confirmation and Repayment Agreement in terms of which the defendant undertook to repay the debt owing as soon as it receives an offshore loan."

[6] According to the statement of agreed facts, the plaintiff's position is that the defendant was supposed to pay the debt by 30 April 2025. On the other hand, the defendant contends that one of the objects of the Agreement was to regulate payment of the balance of the purchase price claimed by the plaintiff. The defendant contends, further, that the Agreement did not provide that the balance of the purchase price would be paid on or before the 30th of April 2025. The defendant argues that clause 3 of the Agreement provides that disbursement of the offshore loan would be made immediately after completion of an environmental impact assessment process and that it was anticipated that the assessment would be completed on or before 30 April 2025, but to date, that assessment is not yet complete.

[7] The defendant submits that the parties agreed that the balance of the purchase price would become due and payable upon disbursement of the offshore loan. The loan has not yet been disbursed. Further, the defendant submits, clause 4 of the Agreement provides that the plaintiff's debt would rank as a high priority payment under the loan application and would receive first priority on the disbursement schedule. Finally, the defendant contends that in circumstances where a financing and fundraising process to secure disbursement remains ongoing, the debt is not due for payment but remains capable of performance in terms of the parties' agreement.

[8] The principle established in *Lutzkie* v *Chief Immigration Officer* S-48-17 at p 5 is that when parties agree that a matter proceeds by way of a special case, the parties agree as to the question of law that arises from the agreed set of facts, and the court is simply invited to determine the question/s of law as presented by the parties. The court cannot delve into whether the facts that have been agreed to are correct or not. The court is bound to accept those facts as being correct and to make a determination from the agreed set of facts as presented before it: *Kunonga* v *The Church of the Province of Central Africa* S-25-17 at p 10.

ISSUES FOR DETERMINATION

[9] The issues that the parties have placed before the court for determination are:

1. Whether or not the defendant is in breach of the Agreement?
2. Whether or not the debt is due and payable?

3. Whether the defendant may file additional documents in the stated case, in terms of r52(3) of the High Court Rules, where such documents are already in possession of the plaintiff?

[10] In my view, the third issue has a bearing on the documents that I need to consider in determining the special case. Hence, I propose to consider the third issue first, followed by the second and third issues.

WHETHER THE DEFENDANT MAY FILE ADDITIONAL DOCUMENTS IN THE STATED CASE, IN TERMS OF R52(3) OF THE HIGH COURT RULES, WHERE SUCH DOCUMENTS ARE ALREADY IN POSSESSION OF THE PLAINTIFF?

[11] Rule 52 (3) of the High Court Rules provides that:

> (3) Every such special case shall be divided into paragraphs numbered consecutively, and shall concisely state such facts and documents as may be necessary to enable the court to decide the questions raised thereby.

[12] Purportedly acting on the strength of this provision, as read with r4(2) of the High Court (Commercial Division) Rules the defendant has incorporated into the record, additional documents namely a letter of commitment from the Minister of Finance, Economic Development and Investment Promotion dated 16 September 2025 and a progress update letter on settlement of outstanding obligation it wrote to the plaintiff on 13 October 2025. Both documents did not form part of the record previously. For completeness, r4(2) of the High Court (Commercial Division) Rules permits reliance on the High Court Rules in circumstances where any procedural matter arises during any proceedings before the Commercial Division, but that matter is not specifically regulated or provided for under the Commercial Division's rules.

[13] Reverting to the issue at hand, the defendant contends that r52(3) permits the incorporation of documents, not previously placed before the court, as may be necessary to enable the court to decide the questions raised in the special case. The defendant argues that r 52 (3) does not provide that such documents should necessarily come from the bundle of documents already submitted to the court. Its further argument is that the special case procedure is party-driven, so the parties agree on documents to place before the court.

[14] On the other hand, the plaintiff's position is that in terms of r12 (2) of the High Court (Commercial Division) Rules, a defendant's plea, exception, special plea or other answer

shall be supported by a paginated and indexed bundle of all relevant and material documentary evidence and a summary of the evidence that the defendant relies on. It submits that no additional documents may be filed, more so after closure of pleadings, without the other party's consent and/or leave of the court.

[15] I do not ascribe to the wide and textual meaning that the defendant attaches to the phrase 'documents as may be necessary' in r52 (3) of the High Court Rules. In my opinion, r52 (3) must be read in context with the other subrules in r52. Particularly, subrules1 and 2, which precede subrule 3, read: -

> "(1) The parties to any civil action or suit may, after summons has been issued, agree upon a written statement of facts or the questions of law arising therein in the form of a special case for the adjudication or opinion of the court.
> (2) The statement referred to in sub rule (1) shall set out the facts agreed upon, the questions of law in dispute between the parties and their contentions thereon."

[16] It is settled law that when a matter proceeds by way of a special case, the parties agree on a set of facts and they invite the court to determine a question of law arising therefrom: *Lutzkie* v *Chief Immigration Officer supra*. It occurs to me that under the special case procedure, material disputes of fact are dispensed with through the statement of facts as agreed between the parties in accordance with r52(1) and r52(2). Therefore, once the parties agree to proceed by way of a stated case and file in that regard a statement of agreed facts, the latter supersedes previous contestations in the pleadings or even documents included in the bundle, except to the extent that such documents may be considered relevant, per r52 (3) of the High Court Rules, to the disposal of the stated case.

[17] Therefore, properly construed, r52 (3) is a vehicle through which parties streamline the documents that they have already placed before the court, confining them to only those documents that they agree are necessary to enable the court to determine the question of law. In my considered view, it is in this context that r52(3) relates to the placement of necessary documents before the court.

[18] There is yet another reason why I am not persuaded by the defendant's position. In my view, the established principles on the timelines within which to file pleadings and documents remain pertinent, even in a special case. The *dies induciae* for filing pleadings

in the Commercial Division is not altered because the dispute has morphed into a special case. The procedural safeguards still ought to be observed.

[19] I hold this view because, from a clear reading of r52 (1) of the High Court Rules, it is only upon the issuance of a summons that parties may agree that a matter proceeds as a special case. Now, the issuance of summons is governed by the rules of court. Needless to state, the Commercial Division has its own set of rules that regulate practice and procedure in the Division and, by necessary extension, the filing of summons and subsequent pleadings.

[20] In *casu*, it is common cause that when this matter was initially issued as a summons matter, the defendant filed its plea. It did so in terms of r12 (2) of the High Court (Commercial Division) Rules, and therefore it filed, together with its plea, a paginated and indexed bundle of all relevant and material documentary evidence and a summary of the evidence that it was relying on. That bundle constitutes the approved and formal discovery, and it supports the defendant's plea. This is the practice and procedure in this Division, as provided by the High Court (Commercial Division) Rules and as reinforced in *Blakey Investments (Pty) Ltd* v *Delta Beverages (Pvt) Ltd & 2 Ors* HH388-23 at p6 that:

> "Litigants in the Commercial Division are required to place, right at the onset, together with their statements of claim or defence, the summary of their evidence and the list of the documents to be relied upon. "

[21] Resultantly, at the time the matter was set down for a case management meeting, the defendant had already placed before the court all its relevant and material documentary evidence in compliance with the rules. In accordance with the provisions of r16 and r17 (1) (a) of the High Court (Commercial Division) Rules, pleadings had been closed, although in terms of r17(1) (b), parties could still agree, at the judicial case management stage, to file any further documents and pleadings within set deadlines as agreed in the case management meeting. In this matter, this opportunity was not utilised.

[22] The impression I get from the defendant is that because the matter is now a special case, the admission of additional documents is automatic. As stated, that is clearly incorrect. In my opinion, the requirements prescribed by the rules of court do not simply go away because parties have agreed that their matter proceeds as a stated case. Rules of court are there to regulate the practice and procedure of the High Court: see *Forestry Commission* v *Moyo* 1997 (1) ZLR 254 (S).

[23] While I accept that the filing of additional documents facilitates a proper ventilation of disputes, I am of the opinion that for uniformity of practice and certainty in the system, the special case procedure cannot be taken as a licence for a litigant to haphazardly introduce new documents or pleadings in the manner the defendant seeks to do. A special case is essentially a truncated trial. It remains informed by the pleadings, summaries of evidence, as well as the relevant and material documentary evidence placed before the court by the respective parties. Any subsequent filing is bound to change the complexion of the matter as originally pleaded by the parties. A litigant cannot, therefore, hide behind the special case procedure to ambush the other party by sneaking into the record documents that have not been procedurally discovered and without seeking the leave of the court to do so, long after pleadings have been closed. After pleadings have been closed, a party is required to seek leave to formally introduce additional documents into the record, and a court must make the necessary considerations including the prejudice to the other party, and if such prejudice can or cannot be cured by an appropriate order for costs. This does not change because the matter is now a special case.

[24] In this matter, the defendant has not sought leave for the documents to be admitted into the record. It is trite that while a court can exercise its discretion and condone an irregularity, such discretion cannot be exercised *mero motu* but upon an invitation to do so: See generally *Zimbabwe Consolidated Diamond Company (Private) Limited* v *Grandwell Holdings (Private) Limited & Ors* 2020 (2) ZLR 920 (S) and *Marick Trading (Pvt) Ltd* v *Old Mutual Life Assurance Company* 2015 (2) ZLR 343 (H). Without a proper application seeking such leave, I cannot, on my own volition, turn a blind eye to the irregularity and have regard to the documents. The exercise of my discretion has not been triggered. In the ultimate, I find that the documents have been irregularly introduced into the record and ought to be expunged from the record, as I hereby do.

WHETHER OR NOT THE DEFENDANT IS IN BREACH OF THE AGREEMENT AND WHETHER THE DEBT IS DUE AND PAYABLE?

[25] In their submissions, both parties have co-joined issues two and three under one broad question, namely whether or not the debt is due and payable. I will proceed to dispose of both issues at once on that premises.

[26] The plaintiff submits that the defendant is in breach of the Agreement. It submits that in terms of clause 3 of the Agreement, the debt was supposed to be paid from the offshore loan, which was supposed to be disbursed immediately after the completion of an environmental impact assessment process. The environmental impact assessment process was expected to take between thirty to ninety days and was anticipated to be completed on or before 30 April 2025.

[27] The plaintiff submits, further, that the defendant was required to pay the debt from any day starting from 30 April 2025, but as at 5 June 2025, when the summons was issued, the defendant had not paid the debt and remains in debt to date. The plaintiff contends that there is no agreement that the plaintiff shall only be paid from an offshore loan, and all it wants is payment of its debt. Its position is that the defendant automatically defaulted on the Agreement on 30 April 2025 on account of clause 3 of the Agreement. The plaintiff argues, in the alternative, that the defendant is in default because it has not paid the debt despite judicial demand through the issuance of the summons on 5 June 2025.

[28] The defendant maintains that the debt is not due and payable. It avers that the plaintiff is misinterpreting the Agreement because clause 3 expressly provides that disbursement of the offshore loan would occur immediately upon the completion of the environmental impact assessment. It argues that it was merely anticipated that such assessment would be completed on or before 30 April 2025, but clause 3 does not state that payment would become due on 30 April 2025, irrespective of whether the offshore loan had been disbursed. It is the defendant's further argument that 30 April 2025 is plainly predictive, not peremptory, and it reflects an expectation or projected, not an actual, deadline nor agreed date of payment.

[29] The defendant submits that the environmental impact assessment has not been completed and, consequently, the offshore financier has not yet released the loan. It submits, further, that the triggering event upon which payment to the plaintiff was structured has not yet

occurred and that the plaintiff's attempt to detach the repayment obligation from the financing mechanism is tantamount to rewriting the contract between the parties.

[30] The defendant contends that the clear commercial architecture of the offshore loan transaction was that creditors would be paid from the proceeds of the offshore loan once it was disbursed. It contends further, that if clause 3 is read in light of the objectives of the Agreement, it is evident that repayment is inextricably linked to the availability of offshore funding. The defendant takes the position that clause 3 is a suspensive condition and it cannot be in breach of an obligation that has not yet become enforceable.

[31] In response to the defendant's submissions, the plaintiff disputes that clause 3 is a condition precedent for the fulfilment of the defendant's obligations arising out of the credit sale agreement. It argues that it is merely one of the ways in which the defendant is attempting to repay the debt. According to the plaintiff, it does not mean that if the defendant does not secure the loan, the debt vanishes, neither does it mean that the plaintiff should wait *ad infinitum* for payment of the debt.

[32] A condition precedent or suspensive condition is an agreement to suspend the operation of a contract or some part of it until the fulfilment of the condition: *City of Harare v Augur Investments OU & Ors* HH727-18 at p12. A suspensive condition merely suspends the operation of all or some of the obligations of the contract until the occurrence of a future event: See *University of Zimbabwe* v *University of Zimbabwe Staff Associations* SC8-04 at p5 and *Chanakira* v *Mapfumo & Anor* 2010 (2) ZLR 178 (H) at 184A.

[33] The effect of fulfilment of the condition is that the contract becomes immediately enforceable whilst non-fulfilment of the conditions renders the contract void: *City of Harare v Augur Investments OU & Ors supra* at p12.

[34] For a term in a contract to be properly regarded as a suspensive condition, its effect must be to suspend the operation of the agreement or part of it until the happening of some uncertain future event: *Stanmarker Mining (Pvt) Ltd* v *Metallon Corporation Ltd* 2006 (1) ZLR 306 (H) at 337F.

[35] If I have understood the defendant's argument correctly, its position is that the debt will be due once the offshore loan is disbursed. I am not persuaded by this argument for the following reasons.

[36] Firstly, clause 3 of the Agreement is to the effect that:

> "3 Loan Disbursement
> The disbursement of the funds from the offshore loan shall be made immediately after the completion of the Environmental Impact Assessment required by the Financier taking into account any regulatory delays which may be associated with the Reserve Bank of Zimbabwe and ZIMRA requirements. It is anticipated that the Environmental Impact Assessment process shall be completed on or before the 30th of April 2025; the process takes anywhere between 30 days to 90 days."

[37] It presents itself clearly to me that both parties are agreed that the loan was or is supposed to be disbursed immediately after the completion of the environmental impact assessment. The point of divergence is when the environmental impact assessment process should have been completed, and if payment of the debt would become due then. From a simple reading of clause 3, the environmental impact assessment process would take anything between thirty days to ninety days. In my view, the agreement was entered into on 7 February 2025; hence, guided by the period the process would take, the anticipation was that the process would be completed on or before 30 April 2025. In my analysis, 30 April 2025 was not merely predictive, but it was the absolute deadline for the completion of the process. I am fortified in this view by the use of the peremptory word 'shall', in the phrase '*It is anticipated that the Environmental Impact Assessment process shall be completed on or before the 30th of April 2025*'.

[38] The implication of the use of the word 'shall' has been traversed in this jurisdiction before. I cannot better the words of the court in *Air Duct Fabricators (Private) Limited* v *A.M. Machado & Sons (Private) Limited* HH 54-16 at p6, to the effect that:

> "The guidance that emanates from these cases is that when 'may' is used, it is merely directory and choosing not to act in the manner prescribed is permissible. When the word 'shall' is used it denotes mandatory action and compliance with the prescribed course of action is obligatory, imperative, and strict. Failure to comply with a mandatory course of action invalidates the thing done whereas failure to comply with a directive is not fatal, it may result in some being sanction imposed."

[39] I would have been persuaded differently had clause 3 used the word 'may', which, generally, implies permissiveness, discretion or choice, but the clause uses the word 'shall', which is an imperative, a duty or an obligation to take the prescribed course of action. I therefore do not read this statement to mean that the process could go beyond 30 April 2025. I find that the process had to be completed on or before 30 April 2025.

[40] Secondly, the preamble to the Agreement shows that the Agreement was entered into to fulfil the requirements of a loan application made by the defendant. Further, it states that the plaintiff and defendant had anticipated an approved scale-up funding to have been disbursed in February 2024. It is common cause that this funding did not materialise, thereby necessitating the defendant to seek alternative funding options. The Agreement records, further, that the defendant had successfully identified an alternative financier whose conditions for the loan included the signing of the Agreement as a necessary due diligence step before disbursement of the funds.

[41] The Agreement then records that the parties entered into the agreement to fulfil the loan conditions and to regulate payment of the outstanding balance. It was also meant to offer each party comfort and certainty regarding the debt, its exact value, method of payment, and priority status for payment of the debt upon disbursement of the loan.

[42] In terms of clause 2 of the Agreement, the plaintiff agreed that

> "…..the debt recorded herein may be extinguished through a payment made by the Financier direct to the account of the Creditor (plaintiff herein) on behalf of the Debtor (defendant herein) and that such payment shall be competent to extinguish such debt."

[43] Clause 2 is telling. It does not say payment of the debt is strictly supposed to be made from the offshore loan, but rather, it gives payment of the debt from the offshore loan as a viable option for settling the debt, and should that happen, that disbursement would be competent to extinguish the debt, just like any other payment from any other source. The clause does not prescribe that the debt would exclusively be settled by the offshore loan; rather, it is permissive. Similarly, prioritisation of the debt through clause 4 of the Agreement does not mean that the debt cannot be settled by any other means; it is simply a reassurance that should the loan be disbursed, then the debt would be prioritised. In my view, such a reassurance was necessary coming against the backdrop that the debt, according to the Credit Sale Agreement between the parties, had initially been due for full and final payment by 25 June 2024 and an anticipated scale-up funding of US$7.9 million due for disbursement in February 2024 had fallen through.

[44] So, in addition to complying with the financier's requirements for approval of the loan as recorded in the preamble, the Agreement was also meant to reassure the plaintiff that the defendant was doing everything that was necessary for the debt to be paid off. There is

nothing peculiar about such a reassurance because the expectation is that if one gets a debt, they ought to settle the same. Any creditor in business would obviously need reassurance that the debt will be settled.

[45] Thirdly, stripped to its essentials, the defendant, who has benefited from the plaintiff's goods and services, now seeks to hide behind the Agreement so as not to pay for what it has received from the plaintiff on the basis that clause 3 is a suspensive condition. I am not convinced that clause 3 is a condition precedent. Clause 3 does not state that payment to the plaintiff is subject to the disbursement of the offshore loan. Nowhere in the Agreement, clause 3 included, is it stated that the parties agreed to suspend the payment pending the disbursement of the offshore loan. If that was the intention of the parties, the Agreement should have simply stated so.

[46] It therefore occurs to me that the mere fact that the plaintiff agreed to receive payment from the financier does not absolve the defendant from liability to pay the debt. Similarly, the mere fact that the offshore loan is an accepted alternative payment method does not absolve the defendant from paying the debt through other means: See *Midlands State University v Galaxy Engineering Design Consultants (Pvt) Ltd* 2021 (2) ZLR 366 (S). It remains the responsibility of the defendant to look for funding and settle its debt. The defendant cannot seriously argue, fifteen months later, that it is still going through an environmental impact assessment process. To make matters worse, the defendant does not state when the assessment, which was due to be completed on or before 30 April 2025, is to be completed. It does not state the stage at which the process is. It does not even furnish the court with any evidence to prove that the process is indeed ongoing. Surely, the least the defendant should have done was to proffer meaningful and convincing evidence that it is making concerted efforts to secure the loan so that it meets its side of the bargain. Curiously, the defendant is even convinced that a fifteen-month delay for a process which was meant to take a fifth of that time is reasonable. The defendant cannot expect the plaintiff to wait for years on end for a process shrouded in mystery.

[47] In *Dowood Services (Pvt) Ltd t/a Bradfield Motors* v *Railings Enterprises (Pvt) Ltd t/a Paroan Trucking* SC13-15, the court dealt with a matter in which the respondent supplied

various consignments of fuel to the appellant over a period spanning from March 2011 to February 2012. The agreement between the parties was that once the fuel was sold for each consignment, payment would be made for that particular consignment. The appellant had made erratic payments to the respondent during the said period. On 17 April 2012, the parties drafted and signed an acknowledgment of debt, in terms of which it was recorded that the appellant's representative had applied for a loan whose disbursement was due by end of March 2012. The agreement recorded that the representative was still waiting for the loan, and should it not be received by end of April 2012, the parties would need to agree on an alternative payment plan. The respondent then successfully launched an application for summary judgment in the High Court. Aggrieved that the High Court had not properly considered that it had a *bona fide* defence to the claim, the appellant appealed to the Supreme Court.

[48] The Supreme Court, rejecting the appellant's argument that the acknowledgment of debt was a suspensive condition of the contract concluded between the parties, made the following remarks which are apposite:

> "The contract between the parties was concluded sometime in March, 2011 for the supply of fuel by respondent to the appellant with the latter paying for each consignment soon after it had been sold. The appellant breached the contract by failing to pay as agreed upon thereby incurring arrear payments amounting to $58 335,00 by 17 April 2012, the date of signing of the acknowledgment of debt. *The acknowledgment of debt, in essence, is not the contract concluded by the parties. It simply constitutes an admission by the appellant of the amount owing and an undertaking by the same party of how it proposed to pay off the debt. It certainly cannot amount to a condition which renders the operation of the contract dependent upon the occurrence of a future uncertain event. Its nature is not suspensive, at least not post end of April 2012 and it cannot be made so merely by it being called a condition precedent.*
>
> It certainly cannot be said that when the parties drafted and signed the acknowledgment of debt in that vein it was within their contemplation to upgrade the proposed modality of payment of the outstanding amount to a suspensive condition of the contract, otherwise a novation of the original agreement would have taken place. *If the modality of payment suggested in the acknowledgment of debt were to be interpreted in the sense contended for by the appellant, it would "lead to a conclusion that flouts business common sense, [and] it must be made to yield to business common sense."* Per LORD DIPLOCK in *Antaios Compania Naviera S.A.* v *Salen Rederierna A. B.* [1985] AC 191 @ 201.
>
> Clearly the appellant had no defence to respondent's claim, let alone one *bona fide*. It did nothing for one year seven months that is from the signing of the acknowledgment of debt to 12 December 2013 when the application for summary judgment was heard, to ensure that the alleged promised loan was availed to it or engaged respondent for an

> alternative repayment plan. Surely the respondent cannot be expected to wait for payment forever in vain. The "defence" raised by the appellant was rightly dismissed by the learned Judge *a quo* as spurious and simply meant to buy time." [Emphasis own].

[49] I would wholeheartedly adopt these remarks to hold that the Agreement, in essence, simply constitutes an admission by the defendant of the amount owing and a proposal of how the debt would be paid off. It is not a condition precedent upon which the contract between the parties was predicated. It does not render the operation of the contract dependent upon the occurrence of a future uncertain event. The Agreement does not, in my view, upgrade the modality of payment of the outstanding amount of debt to a suspensive condition of the contract, otherwise a novation of the original agreement would have taken place. In my further view, if the modality of payment suggested in the Agreement were to be interpreted in the sense contended for by the defendant, it would definitely lead to a conclusion that flouts common business sense. The agreement was that the defendant would settle the debt in June 2024; it failed. The defendant then acknowledged its indebtedness in the Agreement and undertook to complete an environmental impact assessment process by 30 April 2025, following which the loan would be disbursed and the plaintiff's debt paid off. By virtue of this provision, the expectation was that the debt was due for payment on 30 April 2025. In my interpretation, there is nothing in the Agreement to suggest that the agreement was for payment to be made beyond 30 April 2025, and only upon the offshore loan being disbursed.

[50] I would therefore resolve the first and second issues on the simple basis that after entering into the Agreement, the defendant was expected to attend to everything necessary to complete the environmental impact assessment process by 30 April 2025. The further expectation was that the loan would be disbursed then. That the loan was not disbursed or the process was not completed by 30 April 2025 does not absolve the defendant from liability. Further, the loan is not the only source of payment for the debt. For all we know, the loan may never even be disbursed. In my view, that does not then mean the defendant no longer has the obligation to pay for goods and services it has enjoyed and expended. That is not how business works. In the ultimate, I hold that the defendant cannot now seek to shirk off payment of the debt on the basis of its erroneous interpretation of the

Agreement. I find that the defendant is in breach of the Agreement, and that the debt is now due and payable.

[51] On the question of costs, in its submissions, the plaintiff prayed for costs on a legal practitioner and client scale, while the defendant prayed for dismissal of the claim with costs. I sought clarity from both parties on whether the prayer for costs was on the basis of the initial credit agreement to which, after exchanges with the court, both parties were agreed that should the plaintiff be successful, it would suffice to order the defendant to pay collection commission.

ORDER

[52] In the result, it is ordered that

1. The plaintiff's claim succeeds.
2. The defendant be and is hereby ordered to pay to the plaintiff-
   2.1. The sum of US$750 007.49 together with interest at the rate of 2% per month (24% per annum) calculated from the date of service of summons to the date of payment in full.
   2.2. Collection commission.

MUSHURE J……...

Mtetwa and Nyambirai, plaintiff's legal practitioners
Wintertons, defendant's legal practitioners